Pride Dealer Services

Vehicle Reconditioning & Condition Reports — Wholesale Auto Auction

Raising $500,000 – $1,500,000

25%	$4.5M	$0
EQUITY AT FULL RAISE	PRE-MONEY	DEBT ON THE BOOKS

51.3%	28.2%	$1.33M	$374K
2026 GROSS MARGIN	2026 NET MARGIN	2026 REVENUE RUN-RATE	2026 NET INCOME RUN-RATE

Profitable and debt-free	**Every liability account at nil; 28.2% net margin**
Margin tripled in two years	**26.0% → 37.2% → 51.3% gross**
Expansion is contracted, not hoped for	**Letters of intent in hand from Manheim**
The raise funds the site outright	**No lender, no debt service, no financing contingency**

All figures from the Company's live QuickBooks general ledger. 2026 covers January 1 – August 31.

The Business

Pride Dealer Services provides vehicle reconditioning, condition reporting, detailing and photography to the wholesale auto-auction industry — delivered on-site, billed per unit, under recurring enterprise relationships. Florida S-corporation, operating since 2020, 100% owned by Nelson Cajas.

Two Enterprise Anchors

RELATIONSHIP	2025	2026 (JAN–AUG)	CHARACTER
Manheim / Cox Automotive	$1,530,534	$552,389	Multi-site, recurring, per-unit
Dent Wizard International	$926,260	$329,542	Multi-site, bundled with dent repair
Two networks combined	63.7%	99.7%	of total revenue

Why It Is Sticky

Work is embedded in the auction's own throughput — vehicles cannot be sold without a condition report. Multi-year, multi-location, per-unit billing.

Why It Scales

One repeatable unit: a condition-report writer. Add writers, add sites. Field labour is 1099 and paid per production, so cost flexes with volume.

Preferred Status

Certified under Manheim's Supplier Diversity Program — preferred-vendor access across a network of 100+ locations nationwide.

The Concentration

Two networks are 99.7% of 2026 revenue and one site is 54.5%. This is the principal risk, and what the expansion is designed to correct.

Financial Performance

PER THE GENERAL LEDGER	2024	2025	2026 (JAN–AUG)
Revenue	$5,464,666	$3,859,075	$884,836
Gross profit	$1,419,470	$1,434,431	$453,667
Gross margin	26.0%	37.2%	51.3%
Operating expenses	$914,690	$1,231,092	$204,138
Net income	$504,779	$203,339	$249,529

Revenue fell by design; profit did not. Through the 2025 ownership transition the Company wound down its lowest-margin accounts — South Florida Auction, Manheim Statesville, a block of one-off dealers. Gross profit still *rose* in 2025, and gross margin has since climbed to 51.3%. Adding back non-cash amortization ($60,779) and a one-time bad-debt clean-up ($135,028), 2025 normalized cash flow was **$399,146**. On eight months of 2026, the run-rate is **$1,327,254 of revenue and $374,293 of net income**.

Balance Sheet — QuickBooks, Current

ASSETS	AMOUNT	LIABILITIES & EQUITY	AMOUNT
Cash	$65,669	Accounts payable	$0
Accounts receivable	$101,071	Notes payable — all accounts	$0
Goodwill & equipment	$3,085,317	Net book equity	$3,252,056
Total assets	$3,252,056	Total	$3,252,056

No debt. All fifteen liability accounts stand at nil. $101,071 of receivables faces zero current liabilities. Goodwill of $3,084,650 — 94.9% of assets — arose from the 2025 buyout of the former co-owner; it is non-cash, amortized over 15 years, and carries no obligation. The draft 2025 Schedule L still reports a $2,821,500 note the books show at nil; the executed assumption document reconciles the two and is in the data room list.

Unit Economics

The whole model is one repeatable unit: **a condition-report writer producing $7,500 of revenue a month at $4,500 of cost** — a 40% gross margin. That assumption is held deliberately below what the business actually does.

METRIC	PLAN	2025 ACTUAL	2026 ACTUAL
Gross margin	40.0%	37.2%	51.3%
Revenue per $4,500 of writer cost	$7,500	$7,162	$9,235

By Department — The Line the Expansion Buys

DEPARTMENT (2026, JAN–AUG)	REVENUE	GROSS MARGIN
Condition Report	$349,350	**43.6%**
Detail	$332,397	60.7%
Photography	$206,295	59.3%

The expansion is a condition-report build, and that department runs at **43.6%** against the **40%** modeled. The plan is conservative against the exact line of business it funds.

A Proven Site, Not a Projection

Manheim Dallas invoiced $703,460 in 2025 and $482,213 through August 2026 — a ~$723,000 annualized run-rate from a single location, on $25,000–$30,000 invoices. The new site replicates a location the Company already runs profitably today.

The Expansion

Letters of Intent in Hand from Manheim

The expansion is not a business-development theory. Pride Dealer Services holds signed letters of intent from Manheim for additional locations, backed by Supplier Diversity Program certification and a performance record at Manheim Dallas. **The constraint on growth is working capital to staff the sites — not demand, and not access.**

What $1.5M Builds: a 17-Writer Site

MONTH	WRITERS	COLLECTIONS	INCREMENTAL CASH	CUMULATIVE
Month 1	6	$0	($27,000)	($27,000)
Month 2 — trough	12	$45,000	($9,000)	**($36,000)**
Month 3	17	$90,000	$13,500	($22,500)
Month 4 — cash-positive	17	$127,500	$51,000	$28,500
Months 7–12	17	$127,500/mo	$51,000/mo	$436,500

$1.53M
SITE REVENUE AT FULL RAMP

$612K
SITE GROSS PROFIT / YEAR

Month 4
CASH-POSITIVE, NEVER DRAWS AGAIN

6.25×
CUSHION VS. PEAK DRAW

The only period payroll leads net-30 collections is month two, at **($36,000)** — covered 6.25× by the $225,000 working-capital line in the use of funds. From month four the site pays its own payroll out of its own collections.

Use of Funds

USE OF PROCEEDS — FULL $1.5M	AMOUNT	PURPOSE
Field staffing & payroll ramp	$740,000	17-writer crew, site manager, ramp payroll
Marketing & business development	$165,000	Rebuild the non-anchor book
Equipment & operational software	$150,000	Dispatch/scheduling systems, site equipment
Supplies & materials	$135,000	Consumables and tools
Start-up expenses	$85,000	Licensing, permits, professional fees, setup
Working-capital cushion	$225,000	Covers the peak ramp draw 6.25×
Total	$1,500,000	100% expansion

No proceeds fund owner compensation, distributions, or any existing obligation. At a $500,000 first close the same plan runs at six writers rather than seventeen — roughly $250,000 of staffing ramp, $60,000 marketing, $80,000 equipment and supplies, $35,000 start-up, $75,000 cushion — reaching about $540,000 of annualized site revenue, with the balance funding waves two and three.

Why Equity, Not Debt

$232,916 a Year Retained

A $1.5M 10-year facility at 9.5% costs $232,916 annually. Equity-funded, that stays in the business — roughly $1.16M across the plan, and the difference between $804,566 and $1,037,482 of 2030 net income.

No Financing Contingency

An SBA 7(a) facility was scoped at the same $1.5M but is gated on a third-party document the Company does not yet hold. Equity removes the dependency and starts hiring on signature.

Capacity Preserved

Borrowing capacity is deferred, not lost. The Company enters expansion debt-free and can borrow later against a larger, more diversified base to fund site two — without further dilution.

Nothing Ranks Ahead

With no debt on the balance sheet, this round sits behind nothing. Investors are not subordinated to a lender, and there is no covenant package constraining the business.

Five-Year Projections

$1.33M run-rate to $3.63M by 2030 — 28.6% CAGR, debt-free

YEAR	EXISTING BASE	NEW SITE	TOTAL REVENUE	GROSS MARGIN	NET INCOME
2025 (actual)	$3,859,075	—	$3,859,075	37.2%	$399,146 *
2026 (run-rate)	$1,327,254	—	$1,327,254	51.3%	$374,293
2027 (site ramps)	$1,459,980	$1,282,500	$2,742,480	45.9%	$837,590
2028 (full run-rate)	$1,605,978	$1,530,000	$3,135,978	45.1%	$944,989
2029	$1,766,575	$1,606,500	$3,373,075	44.7%	$988,222
2030	$1,943,233	$1,686,825	$3,630,058	44.3%	$1,037,482

28.6%
REVENUE CAGR (2026 → 2030)

+177%
NET INCOME GROWTH

28.6%
2030 NET MARGIN

$0
DEBT SERVICE DEDUCTED

* 2025 shown on the normalized cash-flow basis; general-ledger net income was $203,339 before the amortization and bad-debt add-backs. 2026 annualizes eight months of actuals. Existing base grows 10%/yr; the new site follows the ramp on the previous slide and grows 5%/yr once at full run-rate; margin blends the existing book (51% tapering to 48%) with the new site at the modeled 40%. Net income is gross profit less operating expenses ($420K in 2027 against a $306K 2026 run-rate, scaling to $570K in 2030). A second site would need additional capital and is not included. Management estimates, not guarantees.

Investment Structure

$500,000 – $1,500,000 at $4,500,000 Pre-Money

One price for every investor. Ownership follows the amount raised — a full $1.5M subscription is 25%. Minimum first close $500,000. No existing debt.

RAISED	POST-MONEY	EQUITY	WHAT IT FUNDS
$500,000	$5,000,000	10.0%	Six-writer launch (~$540K site revenue)
$1,000,000	$5,500,000	18.2%	Twelve writers; full marketing and systems
$1,500,000	$6,000,000	25.0%	Full 17-writer site, full cushion

The Price, Both Ways

Trailing: $6.0M post against $374,293 of 2026 run-rate net income is **16.0×**. On trailing earnings alone this is a full price and should be tested as one.

Forward: the raise creates the earnings it is priced against. Against 2030 projected net income of $1,037,482 it is **5.8×**. A 25% stake earns roughly **$259,400 a year by 2030 — a 17.3% yield on $1.5M**, with no debt ranking ahead.

5.8×
POST-MONEY / 2030 EARNINGS

17.3%
YIELD ON COST BY 2030

$0
DEBT AHEAD OF INVESTORS

$1.5M
BORROWING CAPACITY PRESERVED

Indicative terms, subject to definitive documentation. Percentages assume a single class of common equity and no option pool; any pool is expected to come from the pre-money.

Risks — Stated Plainly

1. Customer concentration

Manheim and Dent Wizard are **99.7%** of 2026 revenue; Manheim Dallas alone is **54.5%**. Non-anchor revenue has fallen to $2,905. **Mitigation:** $165,000 of the raise funds business development to rebuild the non-anchor book, and the new site widens the base. Both anchors are multi-year, multi-location relationships, not single points of contact.

2. The business is smaller than it was

Revenue fell from $5.46M in 2024 to a $1.33M run-rate. **Mitigation:** deliberate. The Company exited its lowest-margin accounts; gross profit *rose* in 2025 and gross margin has gone from 26.0% to 51.3%. Net margin is 28.2%. This is a smaller, far more profitable business — but an investor is buying the recovery, not the 2024 scale.

3. Goodwill dominates the balance sheet

94.9% of the $3.25M asset base is goodwill from the 2025 buyout; tangible assets are $167,407. **Mitigation:** goodwill is non-cash and carries no obligation, and against those thin tangibles sit **no liabilities at all** — $101,071 of receivables face zero current liabilities.

4. Execution on the ramp

The plan hires 17 writers in a new market inside a quarter. **Mitigation:** the $7,500 / $4,500 unit sits between two verified actual years ($7,162 in 2025, $9,235 in 2026), the condition-report department already runs 43.6% against 40% modeled, and Manheim Dallas is the template being copied. The cushion covers the peak draw 6.25×.

5. Records clean-up outstanding

The draft 2025 Schedule L reports a $2,821,500 note the books show at nil. **Mitigation:** this round does not depend on resolving it — there is no lender to satisfy — but the executed assumption document is in the data room list and the return should be corrected before filing.

Summary & Next Steps

$500K–$1.5M
RAISE

25%
AT FULL SUBSCRIPTION

$4.5M
PRE-MONEY

28.6%
PROJECTED CAGR

Profitable Today

51.3% gross and 28.2% net margin on 2026 actuals, every figure from the general ledger.

Debt-Free

Every liability account at nil. Nothing ranks ahead of this round, and borrowing capacity is intact.

Demand Already Secured

Letters of intent in hand from Manheim. Working capital is the constraint on growth — not demand, not access.

A Unit That Works

$9,235 of revenue per $4,500 of writer cost against $7,500 modeled. Manheim Dallas runs at ~$723K a year alone.

Pride Dealer Services came through its 2025 transition smaller, debt-free and three times more profitable per dollar of revenue. It holds letters of intent from Manheim for additional locations and a proven site economics model. The only thing standing between the Company and the next location is working capital to staff it.

Next Steps

1. Diligence	Live QuickBooks P&L and balance sheet, returns, AR aging, Manheim LOIs
2. First close	$500,000 — wave-one hiring begins on signature
3. Site live	Cash-positive in month four on the Company's own model
4. Round complete	Balance to $1.5M funds waves two and three

Nelson Cajas · Pride Dealer Services · Fort Lauderdale, FL